LiveCase: iSense – Doing Business

Lecture

LiveCase

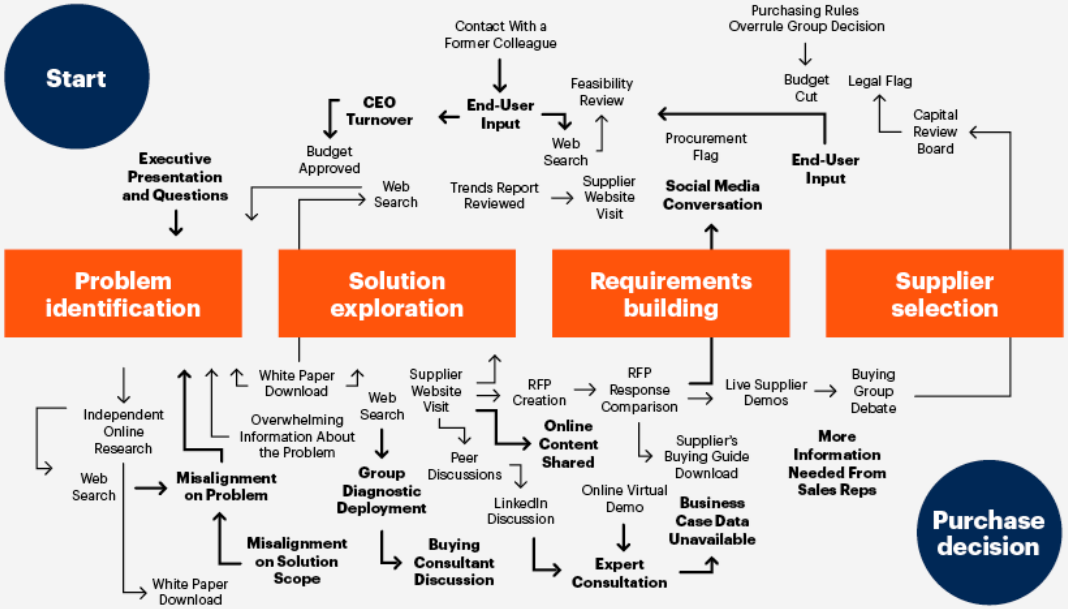
HBP# LC0036

How **post-revenue** businesses
can effectively sell **products & services**
to **other established businesses**

START HERE
Find Leads
Qualify
Assess Needs
Present Solution
Proposal
Negotiate & Close
Repeat Business & Referrals
SALES PROCESS

B2B buying journey

Illustrative



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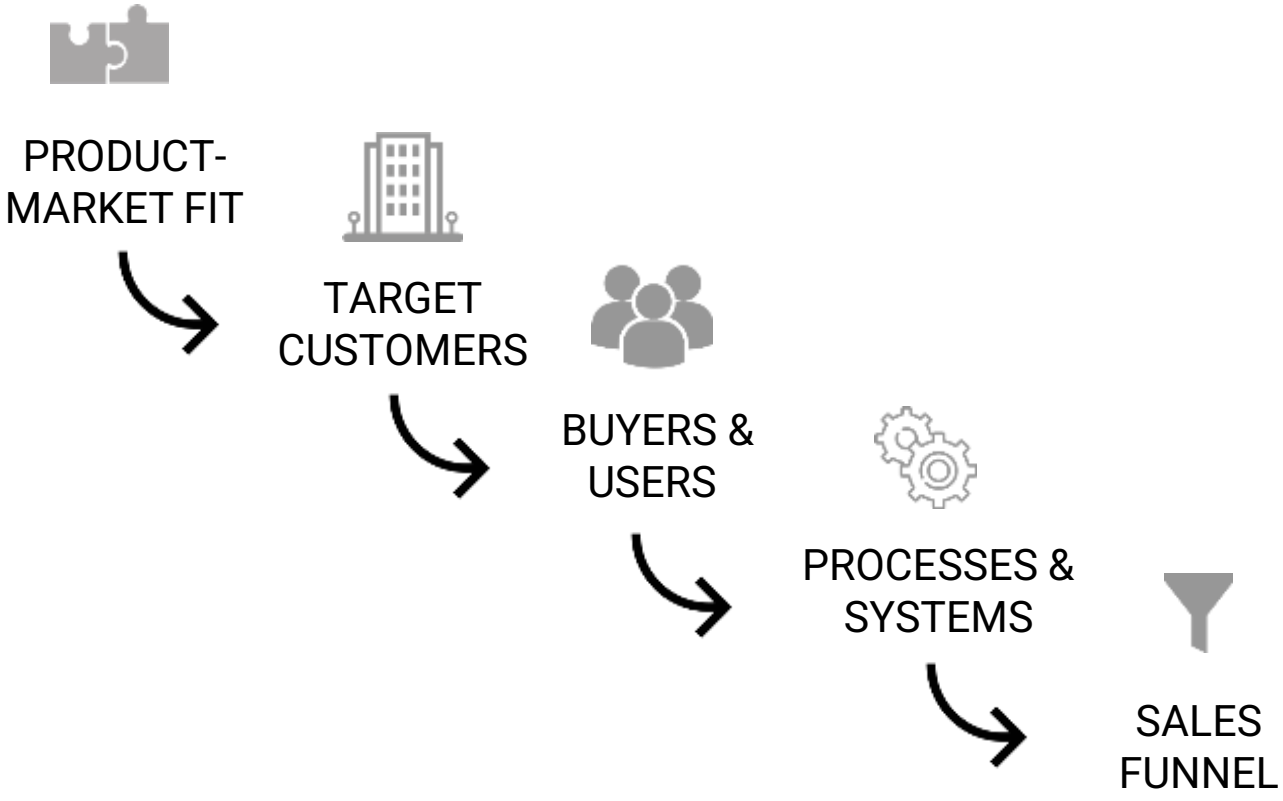
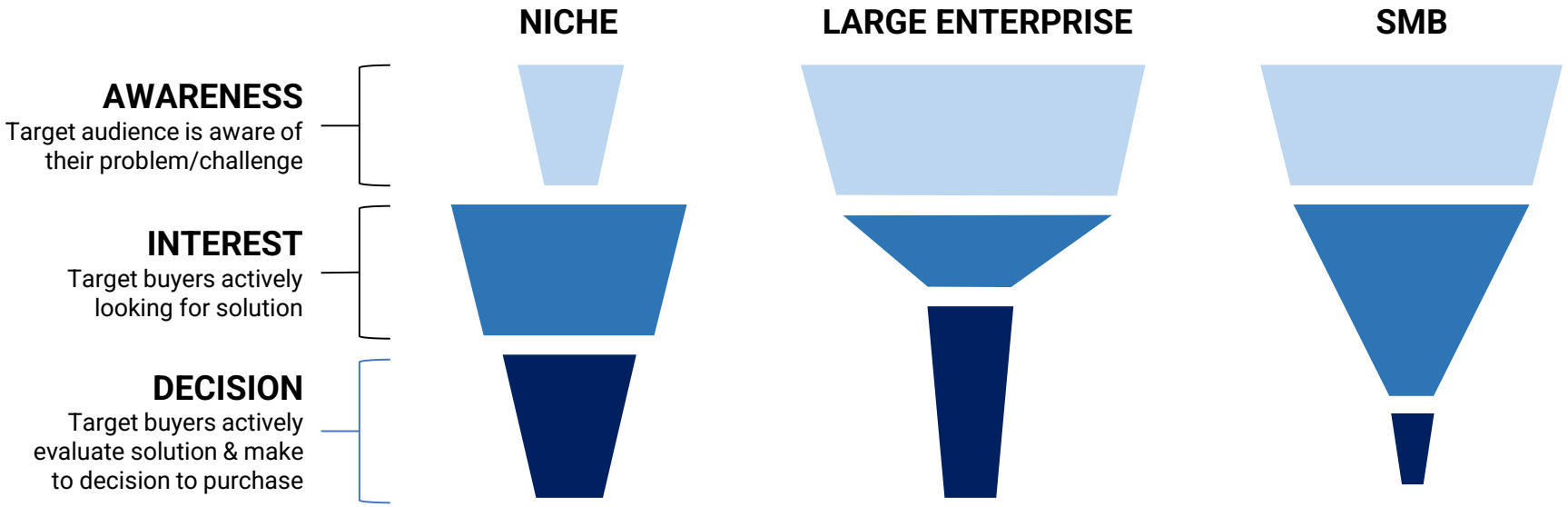
Building a Revenue Strategy



Sales Funnels



Financial Implications

LTV
Lifetime Value

CAC
Customer Acquisition Cost

Profit Margin

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Ideal Customer Profile

Industries
Verticals that need your solution

Size
$ and employees

Geographies
Regional target markets

Timing
How quickly they will need a solution

Executive Priorities
High-level goals for the business
What they talk about in their annual reports / earnings calls

Business Initiatives
The projects that stem from the executive priorities
Specific assignments that align to one or more priorities

Challenges
Current obstacles to executing on business initiatives
Blockers that prohibit success

Buyer Personas

Function/Dept
Where the buyer works

Title
Formal job title

Background
Personal & professional

KPIs
Performance metrics related to job, by which they are evaluated

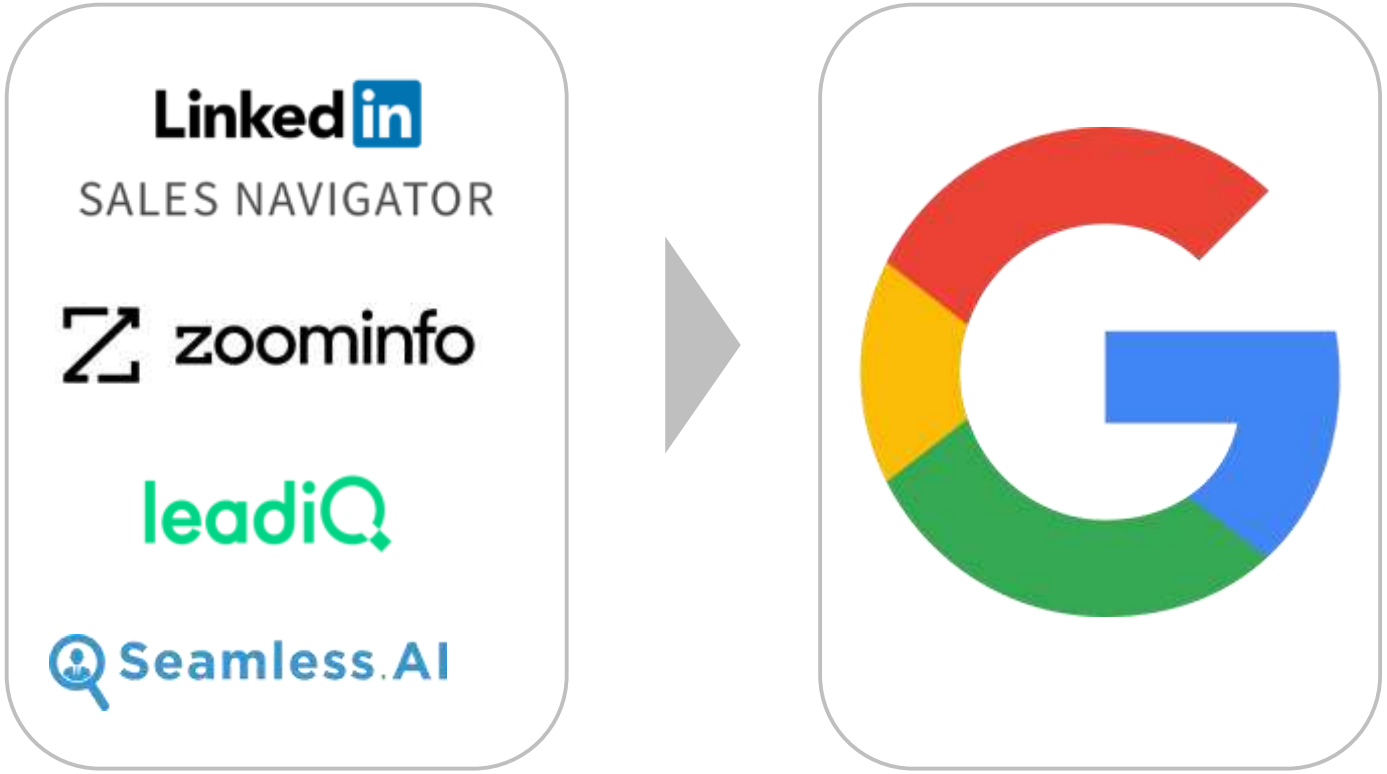
Goals
High-level goals the buyer aims to achieve

Responsibilities
Job duties & tasks that need to be completed

Needs
Requirements to complete job

Challenges
Obstacles to performing job
Problems with existing solutions

Researching Buyers



Prospecting 101

Inbound

Sales Engagement: Passive

Awareness: Medium to High

Communication: Personalized, 1:1

Time Horizon: Shorter

Content: Placed where prospects can find it online (pull)

Preferred when:

- Little money to invest in a sales team
- Large number of people search for your product
- Customer purchasing decisions are quick

Outbound

Sales Engagement: Active

Awareness: Low to High

Communication: Customized to segments, industries, personas, etc. (account-based)

Time Horizon: Longer

Content: Distributed to prospects via phone, email, LinkedIn, etc. (push)

Preferred when:

- Large enterprise clients & expensive product
- Solving complex problems with new solutions
- Long sales cycle for your products
- No issue paying large commissions

“

Every circumstance in which we try to move others by definition involves another human being. Yet in the name of professionalism, we often neglect the human element and adopt a stance that’s abstract and distant.

Daniel Pink
To Sell is Human

”

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The Importance of Qualifying

ASOA (A Slide of Acronyms)

BANT

Budget
Authority
Need
Time

CHAMP

CHallenge
Authority
Money
Priority

MEDDPICC

Metrics
Economic Buyer
Decision Process
Decision Criteria
Paper Process
Identify Pain
Champion
Competition

IT’S NOT ABOUT YOU

Asking Great Questions

- Avoid Yes/No
- Expansion Questions
- Compel to Action or Interest
- Focused on <u>Them</u>

The Consequences of Bad Qualification

Account Executive

Base Salary: $150,000 USD = $72/hour
Quota: $1,200,000 USD = $577/hour

- Has 10 meetings with leads a month
- Each meeting is 60 minutes long
- 4 of the leads are questionable, but seller continues to have one 60-min call with each for the next 2 weeks to determine if there's a fit

8 hours of time equates to:

- $576 cost in salary
- $4,616 opportunity cost

Multiply by 20 sellers:

- $11,520 salary cost per month = **$138,240 per year**
- $115,400 opportunity cost = **$1,384,800 per year**

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Let me tell you about our solution.

I’m going to hand it over to <smart person’s name> for a quick demo.

We’re the best in the market when it comes to <feature, function, amazing tech>.

Tell me about your current challenges.

What are the bad things happening related to those challenges?

What does your ideal state look like?

What could your business accomplish if you solved your pain points?

IT’S ABOUT VALUE

Tying to Value

CUSTOMER

START HERE

ORGANIZATION LEVEL

Business Priorities
What do executives care about?

Specific Initiatives
What projects are in motion?

PROJECT LEVEL

Current Situation
Bad things are happening

Ideal State
Good things will happen

Requirements
What does the customer need to get to their ideal state?

US

SOLUTION

Product/Service
How we can solve the problem

Success Stories
Don't take our word for it

Tying to Value

Measures of success **in their language**

⬆ REVENUE

- % revenue
- % churn
- $ profit
- $ ARR/MRR

⬇ COST

- % COGS
- $ CAC
- % LTV:CAC
- $ ROI

⬇ RISK

- # incidents identified
- % risks monitored
- % risks mitigated

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Articulating Value

CUSTOMER

START HERE

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What do executives care about?

Specific Initiatives
What projects are in motion?

PROJECT

Current Situation
Bad things are happening

Ideal State
Good things will happen

Requirements
What does the customer need to get to their ideal state?

US

SOLUTION

Our Solution
How we can solve the problem

Success Stories
Proof via other customers

Success Story Format

PROBLEM

What pain or challenge was the customer facing?

SOLUTION

What product or service did they purchase from you? Why?

RESULTS

What did your solution help them achieve? What quantifiable metrics were they able to achieve?

Wherever possible, use customer examples from the same industry or sector.

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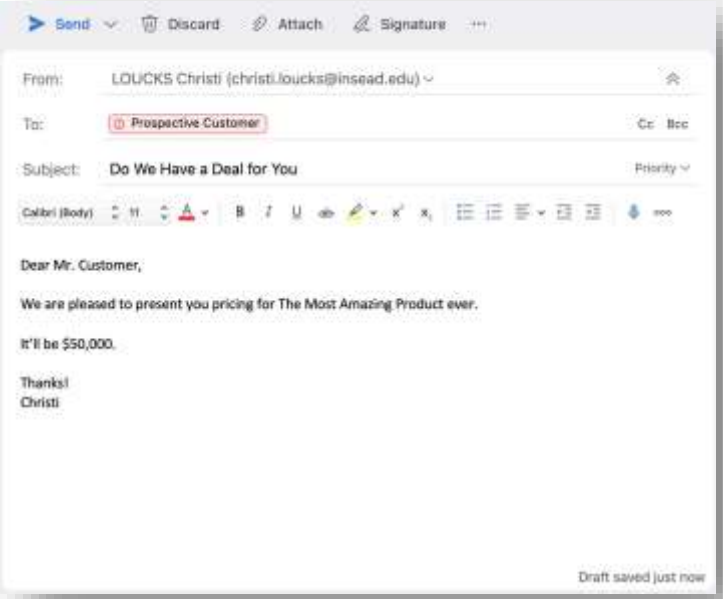
Presenting a Proposal

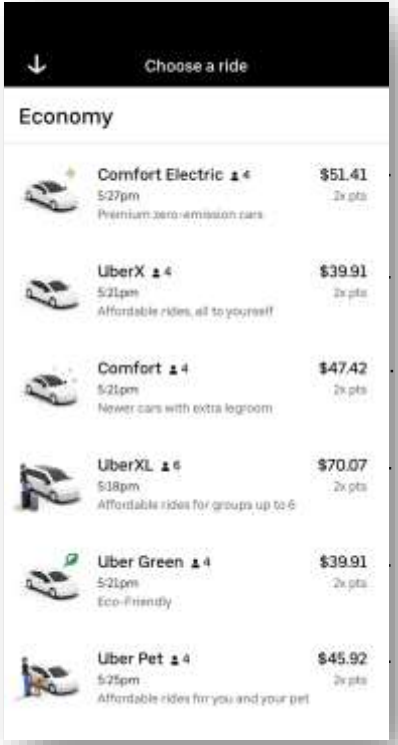
VS

Presenting a Proposal



vs

Presenting Multiple Options



For those who care about sustainability

For those willing to sacrifice comfort for cost

For the tall and/or high-maintenance riders

For large groups

For those who care about sustainability

For those riding with their furry friends

Anchoring Bias

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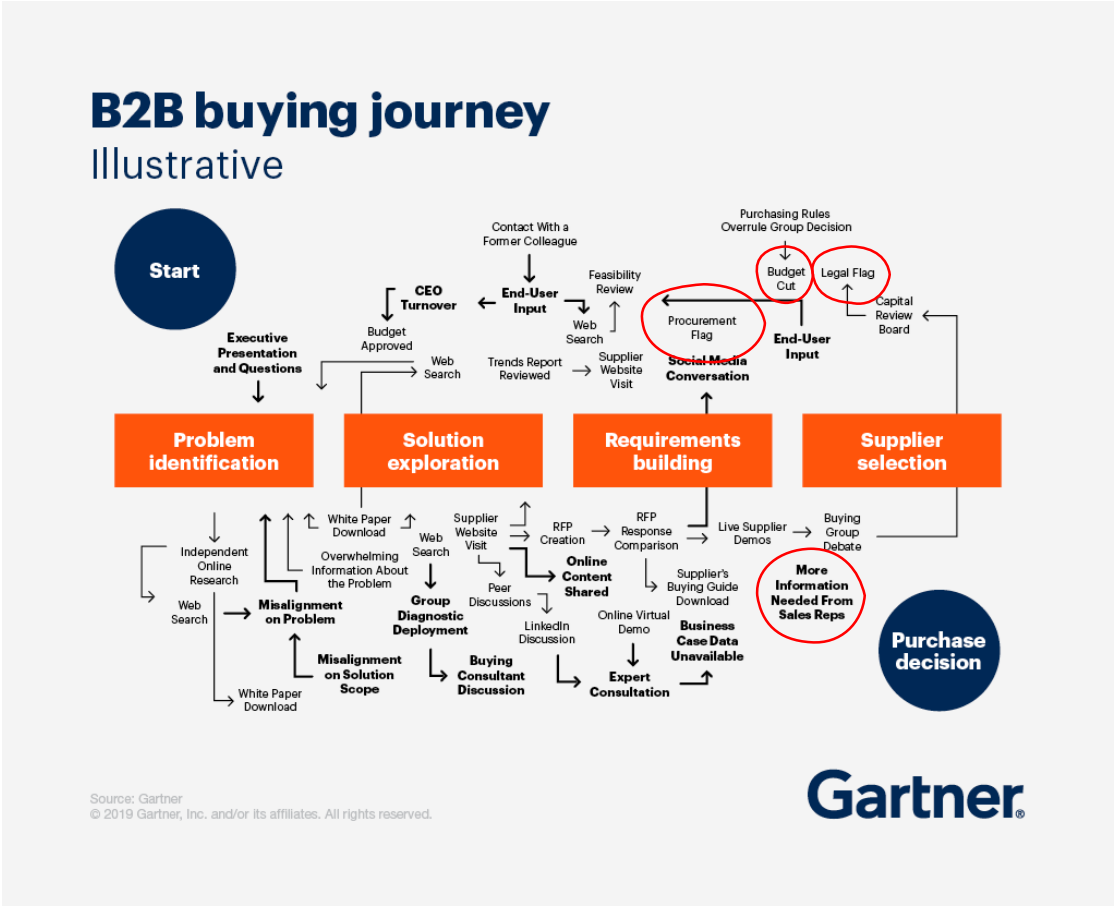
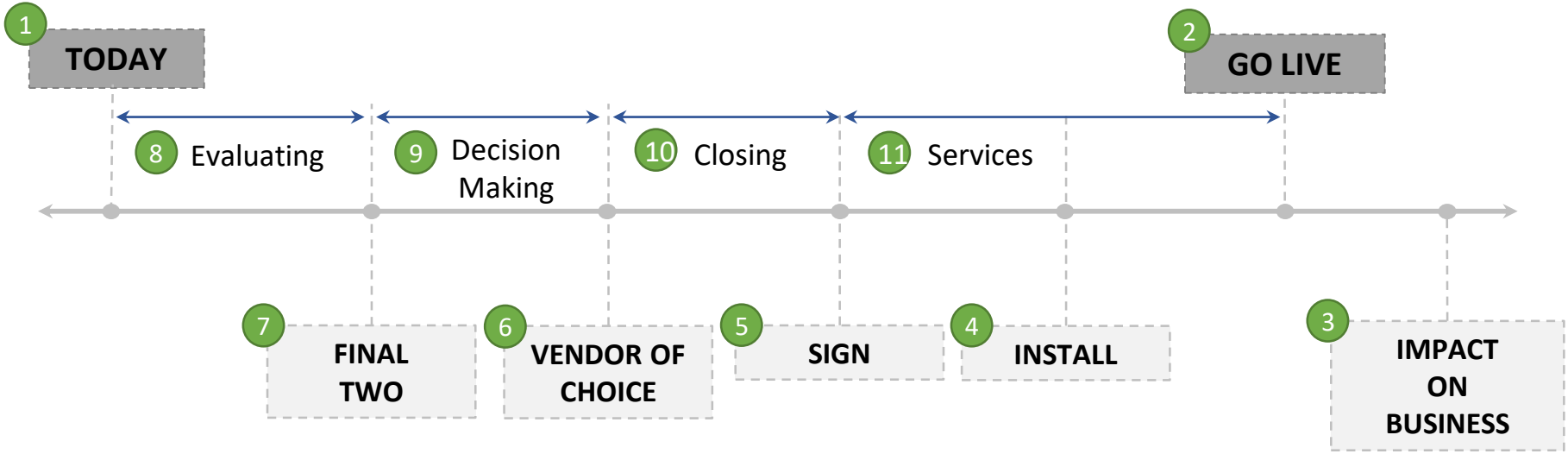
Understand the Customer's Process

- Who needs to sign off on budget?
- What is the procurement process?
- Who needs to sign during the legal process?

AND ARE YOU SURE?



Building a Timeline



Negotiations are not always about price.
But they are always about trust.

Gives & Gets

Price
Access to people
Time
Terms & conditions
Contract length
Training & support
Testimonials
Commitments from stakeholders
Defined next steps

Be willing to walk (or run) away.
Control your emotions.

Positive Closing Strategies

Hard Close

- Direct and clear
- Asks for immediate response
- You maintain control
- Clearly-defined power

Soft Close

- Open-ended, more ambiguous
- Keeps “maybe” deals in play
- Non-confrontational
- More organic approach

Incremental Closing

Build trust and rapport
Create shared agendas
Show you're listening
Write summary emails
Begin each meeting with a recap
Ask thoughtful questions
Handle objections well
Build relationships across levels/depts

THANK YOU